

****Statement on Legal Basis for the Development and Operation of AI Solution in the Health and Care Sector****

Date: 17-11-2023

****Decision****

Public Authorities

Response to Inquiry

****Legal Basis****

The Danish Data Protection Agency has, at the request of the City of Copenhagen, assessed whether the municipality has the legal basis for the development, operation, and retraining of an AI solution that can identify citizens in need of maintenance training and rehabilitative efforts.

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1. **The Inquiry**

The City of Copenhagen requested the Danish Data Protection Agency on March 22, 2023, to assess whether the municipality has the legal basis for the development, operation, and retraining of an AI solution that can identify citizens in need of maintenance training and rehabilitative efforts.

It is noted at the outset that the Danish Data Protection Agency has only assessed the question of whether the City of Copenhagen has a legal basis for the development, operation, and retraining of the relevant solution. The Danish Data Protection Agency has thus not examined any other data protection or health law issues.

2. **The Danish Data Protection Agency's Assessment**

It is the Danish Data Protection Agency's assessment that the development, operation, and retraining of an AI solution, where personal data and special categories of personal data are processed with the aim of predicting citizens' needs for and benefits from rehabilitation to avoid functional impairment, can generally take place based on Article 6, paragraph 1, letter e, and Article 9, paragraph 2, letter g of the Data Protection Regulation. However, both provisions require a so-called supplementary national legal basis.

Processing of personal data for the development, including retraining, of the solution can, according to the Danish Data Protection Agency's assessment, take place with reference to the existing provisions of the Social Services Act, which obligate the municipality to make decisions about and provide maintenance training and rehabilitative efforts.

However, processing of personal data as part of the operation of the solution cannot take place within the framework of these provisions, as there is not a sufficiently clear legal basis in light of how intrusive the processing activity is. Below, this assessment is elaborated further.

3. **Background for the Assessment**

The City of Copenhagen has stated that the municipality, based on its own data, wishes to develop, implement, and retrain an AI solution that can identify citizens in need of maintenance training. The solution will be used as decision support by caseworkers in the municipality's health and care administration.

Regarding the purpose of the AI solution, the municipality has stated the following:

"With the project, [the municipality] wishes to use two algorithms to maintain citizens' functional levels for as long as possible for the benefit of the citizens themselves. This is also beneficial for [the municipality] because it can postpone citizens' need for assistance from the administration. The purpose is thus to ensure that citizens receive the appropriate maintenance training or rehabilitative efforts in a timely manner so that they can manage independently for as long as possible, and that the need for assistance from the administration is postponed.

It is not intended that the algorithm should result in individuals who would normally be offered this training or rehabilitation being deprived of this opportunity. It is intended as a support for the municipality's staff, so that more citizens – where relevant – can benefit from training and rehabilitation."

The City of Copenhagen has additionally stated the following about the AI solution:

"The algorithm constitutes a decision support tool. The algorithm can, with relatively high accuracy,

identify which citizens can undergo a training program and who will benefit from the program. The algorithm is thus intended to support the individual visitor's professional assessment of which citizens will benefit from maintenance training or a rehabilitative effort based on a statistically based analysis. The algorithm is intended as a support to assist the employees in [the municipality] in assessing who can benefit from the rehabilitation program. [...] The algorithm will then be trained on [the municipality's] data. It is intended that the data for training the algorithm will come from historical cases."

Finally, the City of Copenhagen has generally stated that personal data will be processed from three overarching situations:

"Personal data that is part of cases that also constitute patient records. This includes information from cases from the municipal nursing service. It may also include information from training facilities, e.g., therapists.

[The municipality] is also responsible for preventive efforts under Section 119 of the Health Act, and in this context, there are also cases where information is part of a patient record.

Personal data received by the assessment department to allocate a service under the Social Services Act. [The municipality] assesses and makes decisions about the allocation of services under certain provisions of the Social Services Act. This primarily concerns services for citizens over 65 years old. However, all cancer patients will be assessed and have decisions made in [the municipality].

Personal data necessary to perform the task of providing the allocated service from the assessment department. In addition, [the municipality] also has a long range of personal data that is used as part of the actual execution of the decisions made under point 2. This personal data is processed so that it is possible for, e.g., home care and...

the conditions that the processing is necessary for the performance of a task in the public interest or in the exercise of official authority vested in the controller.

3.3. Conclusion

In summary, the Data Protection Authority concludes that the processing of personal data in connection with the development and operation of the AI solution can be based on Article 6(1)(e) of the Data Protection Regulation, provided that there is a supplementary legal basis that meets the requirements set out in Article 6(3). Furthermore, the processing of special categories of personal data may be permitted under Article 9(2)(g) of the Data Protection Regulation, again contingent upon the existence of a supplementary legal basis.

4. Recommendations

The Data Protection Authority recommends that the relevant authorities ensure that the necessary legal framework is established to support the processing of personal data in accordance with the Data Protection Regulation. This includes ensuring that the processing is necessary for the performance of tasks in the public interest and that appropriate safeguards are in place to protect the rights and interests of data subjects.

5. Final Remarks

The Data Protection Authority emphasizes the importance of transparency and accountability in the processing of personal data, particularly in the context of AI solutions. It is crucial that data subjects are informed about how their personal data is being used and that their rights are respected throughout the processing activities.

the processing is actually "necessary." In Article 6, paragraph 3, last clause, there is an additional requirement for the legislation that adapts the application of the data protection regulation. There is a requirement that the national law of the member states must serve a purpose in the public interest and be proportionate to the legitimate aim pursued.

The data protection regulation thus establishes a requirement for proportionality and consideration of the public interest in relation to national law and EU law that adapts the application of the data protection regulation.

Finally, the Court of Justice of the European Union states the following in its judgment of February 24, 2022, in case C-175/20[2]: "In this regard, it should be noted, however, that the legislation that forms

the basis for the processing, in order to meet the requirement of proportionality expressed in Article 5, paragraph 1, letter c), [...] must establish clear and precise rules governing the scope and application of the measure in question, and which set minimum requirements, so that the individuals whose personal data are affected have sufficient guarantees that effectively protect this data against the risk of misuse. This legislation must be legally binding in national law and, in particular, specify under what circumstances and on what conditions a measure for the processing of such data may be adopted, ensuring that the intervention is limited to what is strictly necessary."

The requirement for clarity of the relevant supplementary legal basis thus generally depends on how intrusive the processing of personal data involved in the solution will be for the citizen. If it concerns a completely harmless processing, the requirements will be less than if it involves an intrusive processing, where greater demands are placed on the clarity of the legal basis.

In this context, the following is stated in the Danish Data Protection Agency's guidance on public authorities' use of artificial intelligence (Before You Start)[3]: "The requirements for the clarity of the legal basis that must underpin your processing of personal data in the operation of an AI solution depend on how intrusive the processing is for citizens. According to the Danish Data Protection Agency, the legal basis should be assessed based on how direct and intrusive, for example, a decision or activity is for citizens. This applies regardless of whether the activity is burdensome or beneficial. The legal basis must be proportionate to the legitimate purpose pursued, and the processing must not be more intrusive than necessary.

According to the Danish Data Protection Agency, different requirements are placed on the clarity of the relevant legal basis for the development and operation of the solution, respectively. As mentioned above, the development of an AI solution, as a general rule, does not have direct consequences for citizens. In contrast, an AI solution in operation is expected to generate predictions, recommendations, etc., which, for example, are to serve as decision support for the authority's case handlers. It may also be that an AI solution must make automatic decisions regarding citizens. The consequences for citizens are therefore often greater when the AI solution is in operation, and higher demands are thus placed on the clarity of the legal basis that underpins the use of the solution in operation.

In assessing whether the legal basis you have identified is sufficiently clear, you should consider what information is processed and about which individuals, including, for example, vulnerable citizens. Furthermore, you should consider whether the relevant prediction, decision, etc., generated by the AI solution has an impact on the citizen's economic, educational, social, health, or similar circumstances.[4] The impact can be both positive and negative. Finally, you should consider whether the processing in question, including the fact that the processing occurs through the use of AI, is predictable and transparent for the citizen."

3.3. The Social Services Act

According to § 86 of the Social Services Act[5], the municipal council must offer rehabilitation to alleviate physical disabilities caused by illness that is not treated in connection with a hospital admission. According to paragraph 2 of the provision, the municipal council must also offer assistance to maintain physical or mental skills for individuals who, due to reduced physical or mental capacity or special social problems, have a need for it.

Furthermore, it is stated in § 112 of the Social Services Act that the municipal council must provide support for aids to individuals with permanently reduced physical or mental capacity when the aid (i) can significantly alleviate the permanent effects of the reduced capacity, (ii) can significantly ease daily life at home, or (iii) is necessary for the individual to pursue a profession.

From the remarks on §§ 86 and 112 in the proposal for the Social Services Act (Folketingstidende 2004-05 (2nd session), appendix A, bill of February 24, 2005, pp. 2160 and 2163), it appears that both provisions are a continuation of the then applicable provisions §§ 73 a and 97 of the Social Services Act.

§ 73 a of the Social Services Act was inserted by Act No. 1307 of December 20, 2000, concerning the

amendment of the Social Services Act (Flexible Home Care and Municipal Rehabilitation). Furthermore, § 97 of the Social Services Act was inserted by Act No. 454 of June 10, 1997, concerning social services.

The preparatory works for these provisions do not specify how the municipality should specifically carry out these tasks. Regarding § 73 a, it appears from the preparatory works for the provision that rehabilitation vil blive vurderet gennem en AI-løsning. Der kan derfor være en risiko for, at borgeren ikke er i stand til at forstå, hvordan deres data bliver anvendt, og hvordan beslutninger om deres træning og rehabilitering træffes.

3.4.3. Samlet vurdering

Datatilsynet vurderer, at udviklingen og driften af AI-løsningen kræver en grundig overvejelse af de juridiske rammer og databeskyttelsesreglerne. Det er vigtigt, at kommunen sikrer, at der er et klart behandlingsgrundlag for både udviklingen og driften af løsningen, og at borgernes rettigheder og interesser beskyttes tilstrækkeligt.

Det anbefales, at kommunen i samarbejde med relevante myndigheder og interessenter udarbejder en detaljeret vurdering af de juridiske og etiske aspekter ved brugen af AI-løsninger i forbindelse med træning og rehabilitering. Dette vil bidrage til at sikre, at løsningen er i overensstemmelse med gældende lovgivning og bedste praksis inden for databeskyttelse.

Endelig skal kommunen være opmærksom på, at der kan være behov for at informere borgerne om, hvordan deres data bliver behandlet, og hvordan AI-løsningen fungerer, for at sikre gennemsigtighed og tillid til systemet.

Rehabilitation is assessed through the use of an AI solution. Furthermore, it should be emphasized that the target group whose personal data is sought to be processed – citizens who are in a health situation that necessitates an assessment of a potential need for training to avoid functional impairment – is a vulnerable group.

On this basis, it is the Data Protection Authority's assessment that a clear supplementary national legal basis is required for the operation of a decision-supporting AI solution that predicts citizens' needs for and benefits from training and rehabilitative efforts.

In this context, it is the Data Protection Authority's assessment that Sections 86 and 112 of the Social Services Act have the character of provisions that only generally obligate municipalities to perform certain tasks and, in that connection, presuppose the processing of personal data for the execution of these tasks. However, neither the provisions nor the preparatory works refer to the scope of the processing of personal data that may occur to carry out these tasks, including whether – and to what extent – personal data may be processed in the manner that would be the case with the use of the aforementioned AI solution. Thus, it is the Data Protection Authority's assessment that the mentioned provisions in the Social Services Act do not constitute a sufficient supplementary national legal basis for the operation of the solution in question.

[1] For the background, reference is made to the Data Protection Authority's statement on the Asta tool, which can be accessed on the authority's website here: Statement from the Data Protection Authority: Municipalities' legal basis for the AI profiling tool Asta

[2] C-175/20, Valsts ierīemumu dienests, para. 83.

[3] Data Protection Authority's guidance on the use of artificial intelligence by public authorities (Before you get started), October 2023, p. 31.

[4] Recital 75 of the General Data Protection Regulation.

[5] Consolidated Act No. 1089 of August 16, 2023, on social services.

[6] Directive 95/46/EC of the European Parliament and of the Council of October 24, 1995, on the protection of individuals with regard to the processing of personal data and on the free movement of such data.

[7] Act No. 429 of May 31, 2000, on the processing of personal data, as amended.